SUBCONTRACT AGREEMENT — Oak Valley Estates / Fireplace Scope

Agreement No.: OVE-FIRE-001 | Date Issued: 2026-06-19 | Status: ISSUED FOR SIGNATURE

1. Parties

Contractor (Owner/GC): RAC Inc., 1267 N. 1390 W., St. George, UT 84770. Utah Lic. #5972780-5501 (B100 + E100). Contact: Craig Engel, CEO — 435-229-7360 — racinc19@gmail.com
Subcontractor: Dixie Fireplaces LLC, 1084 E. Tabernacle, St. George, UT 84770. 435-634-1177. Contact: Chris — dixiefireplaces@infowest.com — 435-632-2245
Project: Oak Valley Estates (OVE)

2. Scope of Work

Subcontractor shall furnish all labor, materials, equipment, and supervision to supply and install the gas fireplace system(s) for the Oak Valley Estates project, in accordance with the architectural plans, the manufacturer specification for model SF-SC43-BK (and FX-ProBuilder linear units as applicable), and the pricing established in the Dixie Fireplaces estimates of record:

Estimate	Date	Amount	Reference
5204	2022-01-24	(initial)	Model SF-SC43-BK
1030	2023-01-31	$5,888.00	FX-ProBuilder 54" Linear
1031	2023-01-31	$10,036.00	FX-ProBuilder 54" Linear
1095	2023-02-09	$11,251.00	FX-ProBuilder 72" Linear LED/Dual

Work includes fireplace unit(s), gas connection rough-in coordination, surround framing as required by manufacturer, venting, and trim-out to a finished, operational, code-compliant condition, including final inspection.

3. Contract Price

Total Subcontract Price: $20,000.00 (Twenty Thousand Dollars), inclusive of all labor, materials, freight, and applicable sales tax, for the OVE fireplace scope as defined above. Lump-sum, not-to-exceed; any scope change requires a written, signed change order before the affected work proceeds.

4. Payment

Progress billing upon substantial completion of installed units, net 30. Final 10% retained until final inspection and punch-list completion. Invoiced-to-date at execution: $0.00.

5. Insurance & Licensing

Subcontractor shall maintain general liability and workers' compensation naming RAC Inc. as certificate holder for the duration of the work. On file: COI — American Family (via Udy & Associates) — 2022-06-16; Subcontractor business license — 2022-06-17.

6. General Terms

Subcontractor is an independent contractor responsible for its own employees, taxes, and means/methods. Work shall be performed in a workmanlike manner per all applicable building codes and the manufacturer's installation instructions. Subcontractor shall provide lien waivers with each payment. Warranty: one (1) year on labor; manufacturer warranty on the units.

7. Signatures

Contractor — RAC Inc.

Signature: _____ Name: Craig Engel Title: CEO Date: _____

Subcontractor — Dixie Fireplaces LLC

Signature: _____ Name: _____ Title: _____ Date: _____

Issued and emailed to dixiefireplaces@infowest.com on 2026-06-19 for countersignature. This Subcontract Agreement supersedes the prior "Contract of Record (Estimate Acceptance Memo)" as the controlling contract instrument once executed.